TENTATIVE RULINGS

DEPT C34

JUDGE H. SHAINA COLOVER

LAW AND MOTION IS HEARD ON THURSDAY AT 1:30 P.M.

Tentative Rulings: The Court endeavors to post tentative rulings on the Court's website by 10:00 a.m. in the morning, prior to the afternoon hearing. However, ongoing proceedings may prevent posting by that time. Do not call the Department for tentative rulings if none are posted. Tentative rulings may not be posted on every case. The Court will not entertain a request to continue the hearing or the filing of further documents once a tentative ruling has been posted.

Submitting on Tentative Rulings: If all parties involved in the subject matter intend to submit on the tentative ruling and do not desire oral argument, then *counsel for each such party shall call* and advise the Courtroom Clerk or Courtroom Attendant by calling **(657) 622-5234** before 12:00 pm on the day of the hearing. If all sides submit on the tentative ruling and so advise the Court, the tentative ruling shall become the Court's final ruling and the prevailing party (or whomever the Court assigns in the ruling) shall give notice of the ruling and prepare an order for the Court's signature, if appropriate, under Cal. R. Ct. 3.1312.

Non-Appearances: If no one appears for the hearing and the Court has not been notified that all parties submit on the tentative ruling, the Court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling. The Court also might make a different order at the hearing. (*Lewis v. Fletcher Jones Motor Cars, Inc*. (2012) 205 Cal.App.4th 436, 442, fn. 1.)

Appearances: Remote and In-Person Proceedings. Department C34 **(NOT N6- Please no reserving/filing of motions in N6)** conducts non-evidentiary proceedings, such as law and motion, remotely, by Zoom videoconference pursuant to CCP §367.75 and Orange County Local Rule (OCLR) 375. All counsel and self-represented parties appearing remotely for the Law and Motion Calendar must check-in online through the Court's website at https://www.occourts.org/media-relations/civil.html, prior to the commencement of their hearing. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. Check-in instructions and instructional video are available at https://www.occourts.org/media-relations/aci.html. Parties preferring to appear in-person for law and motion hearings may do so pursuant to CCP §367.75 and OCLR 375.

Court Reporters: Official court reporters (i.e., court reporters employed by the Court) are NOT typically provided for law and motion matters in this Department. If a party desires a record of a law and motion proceeding, it must provide a court reporter. The Court's policy on privately retained court reporters is available on the Court's website at: Privately-Retained Court Reporter Policy.

Public Access: The courtroom remains open for all evidentiary and non-evidentiary proceedings. **No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and OCLR 180.**

TENTATIVE RULINGS

Date: August 27, 2026

#	Case Name	Tentative
1.	**30-2025-01507508** **Elevated Health, Inc vs. UHC of California**	**1. Case Management Conference** **2. Demurrer to Amended Complaint** Plaintiff Elevated Health, Inc.'s ("Plaintiff") First Amended Complaint contains eight causes of action: (1) breach of implied contract, (2) goods and services rendered – quantum meruit, (3) statutory liability for violation of Senate Bill 510, The Cares Act and Insurance Code section 10110.7, (4) violation of California Business and Professions Code sections 17200 et seq., (5) open book account, (6) account stated, (7) unjust enrichment, and (8) declaratory relief. (ROA 29.) Defendant UHC of California ("Defendant") demurs to all eight causes of action. "A complaint, with certain exceptions, need only contain a 'statement of the facts constituting the cause of action, in ordinary and concise language' (Code Civ. Proc., § 425.10, subd. (a)(1)) and will be upheld ' "so long as [it] gives notice of the issues sufficient to enable preparation of a defense." ' [Citation.]" (*Morris v. JPMorgan Chase Bank, N.A.* (2022) 78 Cal.App.5th 279, 292.) "[T]o withstand a demurrer, a complaint must allege ultimate facts, not evidentiary facts or conclusions of law.' [Citation.]" (*Morris v. JPMorgan Chase Bank, N.A.* (2022) 78 Cal.App.5th 279, 292.) "However, ' "[t]he fact that a party has alleged more than is required to justify his right does not obligate him to prove more than is essential, and the unnecessary allegations will be treated as surplusage unless the opposing party would be prejudiced."" (*Ibid*.) "No error or defect in a pleading is to be regarded unless it affects substantial rights." (*Harris v. City of Santa Monica* (2013) 56 Cal.4th 203, 240.) "The primary function of a pleading is to give the other party notice so that it may prepare its case [Citation], and a defect in a pleading that otherwise properly notifies a party cannot be said to affect substantial rights." (*Ibid.*) **1. First Cause of Action: Breach of Implied Contract** Plaintiff's first cause of action is for breach of implied contract. Defendant argues that this cause of action is barred by the applicable statute of limitations pursuant to Code of Civil Procedure section 339(1), is preempted by ERISA pursuant to 29 U.S.C. § 1144(a), and fails to state facts sufficient to constitute the cause of action. **a. Statute of Limitations** Code of Civil Procedure section 339(1) states: "Within two years: 1. An action upon a contract, obligation or liability not founded upon an instrument of writing, except as provided in Section 2725 of the Commercial Code or subdivision 2 of Section 337 of this code; or an action founded upon a contract, obligation or liability, evidenced by a certificate, or abstract or guaranty of title of real property, or by

a policy of title insurance; provided, that the cause of action upon a contract, obligation or liability evidenced by a certificate, or abstract or guaranty of title of real property or policy of title insurance shall not be deemed to have accrued until the discovery of the loss or damage suffered by the aggrieved party thereunder." (Code Civ. Proc., § 339(1).)

Here, the Court finds that at least some of the wrongful actions alleged in support of the first cause of action for breach of implied contract are barred by the applicable statute of limitations. Still, Plaintiff has alleged contract that falls within the statute of limitations and therefore the Court will not sustain the demurrer to this cause of action based on the statute of limitations.

This analysis applies to the other causes of action for which this argument is raised as well.

b. ERISA

29 U.S.C. § 1144(a) states:

> "Except as provided in subsection (b) of this section, the provisions of this subchapter and subchapter III shall supersede any and all State laws insofar as they may now or hereafter relate to any employee benefit plan described in section 1003(a) of this title and not exempt under section 1003(b) of this title. This section shall take effect on January 1, 1975." (29 U.S.C.A. § 1144.)

Here, the Court cannot determine whether 29 U.S.C. § 1144(a) bars all of Plaintiff's claims at this time as Plaintiff alleges multiple options regarding the health plans at issue. For example, Defendant argues that because "UHCCA is 'a group health plan and/or health insurance issuer offering group or individual health insurance coverage as referend in Section 6001(a) of the [FFCRA] and Section 3202(a) of the [CARES Act]'" then ERISA preempts Plaintiff's claim. Even if the Court were to find in favor of Defendant on this argument, Plaintiff also alleges – and Defendant does not address – the option that the plans at issue were provided "as defined in Health and Safety Code §1342.2, subdivision (h)(6) and licensed by DMHC, or a disability provider under Insurance Code §106, et.seq., Insurance Code §10110.7(a) and licensed by CDI." For this reasons, the Demurrer does not dispose of this cause of action pursuant to its ERISA theory. Moreover, there are no allegations that expressly state that all of the coverage at issue in this case was provided by Defendant pursuant to Section 6001(a) of the Families First Coronavirus Response Act ("FFCRA") and Section 3202(a) of the Coronavirus Aid, Relief, and Economic Security Act ("CARES Act").

Therefore, the Court finds this argument too attenuated to dispose of the cause of action at this stage in the litigation.

This analysis applies to the other causes of action for which this argument is raised as well.

c. Facts alleged in Support of the Cause of Action

"[T]he complaint must indicate on its face whether the contract is written, oral, or implied by conduct." (*Otworth v. Southern Pac. Transportation Co.* (1985) 166 Cal.App.3d 452, 458–459.) Here, Plaintiff alleges an implied contract by conduct. In paragraph 25, Plaintiff alleges:

> "Plaintiff alleges that by the conduct of the parties, a contract was created between Plaintiff and Defendants. Plaintiff's and Defendants' conduct was intentional, and both Plaintiff and Defendants knew, or had reason to know, that the other would interpret their conduct as an agreement to enter into a contract. The terms of the contract were that Plaintiff would provide Defendants' insureds with COVID-19 diagnostic screening and testing and

> Defendants would pay $125 for each COVID-19 diagnostic screening and testing, and if additional COVID-19 services were required Defendants would also pay for those services." (First Amended Complaint, ¶ 25.)

"[T]he elements of a cause of action for breach of contract are (1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff." (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 821.) "[T]he complaint must indicate on its face whether the contract is written, oral, or implied by conduct." (*Otworth v. Southern Pac. Transportation Co.* (1985) 166 Cal.App.3d 452, 458–459.)

Express and implied "contract[s] are identical in that they require a meeting of minds or an agreement [citation]." (*Aton Center, Inc. v. United Healthcare Ins. Co.* (2023) 93 Cal.App.5th 1214, 1230; *Allied Anesthesia Medical Group, Inc. v. Inland Empire Health Plan* (2022) 80 Cal.App.5th 794, 808 ["the vital elements of a cause of action based on contract are mutual assent (usually accomplished through the medium of an offer and acceptance) and consideration."].) "Thus, it is evident that both the express contract and contract implied in fact are founded upon an ascertained agreement or, in other words, are consensual in nature, the substantial difference being in the mode of proof by which they are established." (*Ibid*.; *Allied Anesthesia Medical Group, Inc. v. Inland Empire Health Plan* (2022) 80 Cal.App.5th 794, 808 ["both the express contract and contract implied in fact are founded upon an ascertained agreement or, in other words, are consensual in nature, the substantial difference being in the mode of proof by which they are established."].)

"An implied contract is one, the existence and terms of which are manifested by conduct." (*Nissanoff v. UnitedHealthcare Ins. Co.* (2024) 108 Cal.App.5th Supp. 1 [citing Civ. Code, § 1621].) "Agreement may be shown by the acts and conduct of the parties, interpreted in the light of the subject matter and of the surrounding circumstances." (*Ibid*.) "[P]laintiff must allege the substance of its relevant terms." (*McKell v. Washington Mutual, Inc.* (2006) 142 Cal.App.4th 1457, 1489.) "This is more difficult, for it requires a careful analysis of the instrument, comprehensiveness in statement, and avoidance of legal conclusions." (*Ibid*.)

Plaintiff must also "allege facts that demonstrate the parties, even if through their conduct and not their words, reached an actual agreement that defendant would pay the usual, customary and reasonable rate." (*Nissanoff v. UnitedHealthcare Ins. Co.* (2024) 108 Cal.App.5th Supp. 1; *Pacific Bay, supra*, 12 Cal.App.5th at p. 216, 218 Cal.Rptr.3d 562 [a defendant's conduct of paying only part of what a plaintiff claims shows that the defendant never agreed to pay more].)

Here, the Court finds that Plaintiff has not sufficiently alleged a contractual relationship between Plaintiff and Defendant. The allegations lack the requisite information regarding the terms of the contract and Defendant's consent thereto.

The demurrer to the <u>first cause of action</u> for breach of implied contract **is SUSTAINED WITH LEAVE TO AMEND.**

2. Second Cause of Action: Goods and Services Rendered – Quantum Meruit

Plaintiff's second cause of action is for goods and services rendered – quantum meruit. Defendant argues that this cause of action is barred by the applicable statute of limitations pursuant to Code of Civil Procedure section 339(1), is preempted by ERISA pursuant to 29 U.S.C. § 1144(a), and fails to state facts sufficient to constitute the cause of action.

"[I]n order to recover under a quantum meruit theory, a plaintiff must establish *both* that he or she was acting pursuant to either an *express or implied request* for such services from the defendant *and* that the services rendered were *intended to and did benefit* the defendant." (*Day v. Alta Bates Medical Center* (2002) 98 Cal.App.4th 243, 248; *Nissanoff v. UnitedHealthcare Ins. Co.* (2024) 108 Cal.App.5th Supp. 1.) "Quantum meruit refers to the well-established principle that 'the law implies a promise to pay for services performed under circumstances disclosing that they were not gratuitously rendered." (*Miller v. Campbell, Warburton, Fitzsimmons, Smith, Mendel & Pastore* (2008) 162 Cal.App.4th 1331, 1344.)

"One court summarized the rule as follows: 'The theory of quasi-contractual recovery is that one party has accepted and retained a benefit with full appreciation of the facts, under circumstances making it inequitable for him to retain the benefit without payment of its reasonable value." (*Nissanoff v. UnitedHealthcare Ins. Co.* (2024) 108 Cal.App.5th Supp. 1.) "[W]hen the services are rendered by the plaintiff to a third person, the courts have required that there be a specific request therefor from the defendant[.]." (*Ibid.*)

" To recover in quantum meruit, a party need not prove the existence of a contract [citations], but it must show the circumstances were such that 'the services were rendered under some understanding or expectation of both parties that compensation therefor was to be made.' " (*Miller v. Campbell, Warburton, Fitzsimmons, Smith, Mendel & Pastore* (2008) 162 Cal.App.4th 1331, 1344.)

The first element requires "that the plaintiff have bestowed some benefit on the defendant." (*Day v. Alta Bates Medical Center* (2002) 98 Cal.App.4th 243, 249.) "The measure of recovery in *quantum meruit* is the reasonable value of the services rendered *provided* they were of direct benefit to the defendant." (*Ibid.*)

The second element requires "either an explicit or implicit request for the services." (*Day v. Alta Bates Medical Center* (2002) 98 Cal.App.4th 243, 249.) Put another way, "a recipient of services performed either requested or acquiesced in them ...." (*Ibid.*) "[C]ompensation for a party's performance should be paid by the person whose request induced the performance." (*Ibid.*)

"Plaintiff cannot recover under a quantum meruit theory based on services rendered by plaintiff to a third party, because there was no "specific request therefor from the defendant[.]" (*Nissanoff v. UnitedHealthcare Ins. Co.* (2024) 108 Cal.App.5th Supp. 1 [citing *Day*, *supra*, 98 Cal.App.4th at p. 249, 119 Cal.Rptr.2d 606].) "Moreover, plaintiff cannot demonstrate that the services rendered 'were intended to and did benefit the defendant.'" (*Ibid.*)

Here, there are no allegations regarding and express or implied request for services from the defendant and that the services rendered were intended to and did benefit the defendant. Moreover, caselaw expressly establishes that Plaintiff cannot recover under a quantum meruit theory based on services rendered by plaintiff to a third party.

The demurrer to the second cause of action is for goods and services rendered – quantum meruit is **SUSTAINED *WITHOUT* LEAVE TO AMEND.**

3. Third Cause of Action: Statutory Liability for Violation of Senate Bill 510, The Cares Act and Insurance Code section 10110.7

Plaintiff's third cause of action is for statutory liability for violation of Senate Bill 510, The Cares Act, and Insurance Code section 10110.7.

Here, the Court finds that the allegations lack the requisite factual specificity and are too uncertain to survive a demurrer. For example, the allegations are uncertain because the Plaintiff does not provide which section of The Cares Act that Defendant allegedly violated. Likewise, it appears that SB 510 has since been amended and no longer deals with COVID and therefore Defendant has not clearly set forth its claim as to SB 510. In addition, Plaintiff has not alleged fact allegation as to how Defendant violates these statutes. The cause of action is generally uncertain and lacks factual allegations support its legal conclusions.

The demurrer to the third cause of action for Statutory Liability for Violation of Senate Bill 510, The Cares Act and Insurance Code section 10110.7 is **SUSTAINED WITH LEAVE TO AMEND.**

4. Fourth Cause of Action: Violation of California Business and Professions Code sections 17200 et seq.

Plaintiff's fourth cause of action is for violation of California Business and Professions Code sections 17200 et seq.

"Business and Professions Code section 17200 et seq. prohibits unfair competition, including unlawful, unfair, and fraudulent business acts." (*Aton Center, Inc. v. United Healthcare Ins. Co.* (2023) 93 Cal.App.5th 1214, 1247.) "The UCL covers a wide range of conduct." (*Ibid*.) "It embraces anything that can properly be called a business practice and that at the same time is forbidden by law." (*Ibid*.)

"An act can be alleged to violate any or all of the three prongs of the UCL—unlawful, unfair, or fraudulent." (*Aton Center, Inc. v. United Healthcare Ins. Co.* (2023) 93 Cal.App.5th 1214, 1248.) "However, the remedies available for violation of the UCL are limited." (*Ibid*.) "Only equitable remedies can be obtained; damages cannot be recovered." (*Ibid*.)

Here, Plaintiff alleges that Defendant violated the UCL because they have: (1) engaged in unfair and unlawful business practices that are designed to destroy and subvert their responsibility to properly pay for COVID-19 testing and services, FAC, ¶ 41, (2) engaged in unlawful business practices by, including without limitation, refusing to comply with California Health & Safety Code §1342.2, California Insurance Code §10110.7, and the CARES Act payment provisions, FAC, ¶ 42, (3) engaged in unfair business practices by refusing to properly pay Plaintiff for critical COVID-19 testing and services and in turn retaining monies intended to provide medical services for their members, in a manner that is unethical and contrary to public policy, FAC, ¶ 43, and (4) implemented practices and procedures that resulted in Defendants' refusal to pay or underpay Plaintiff for COVID-19 testing and services, in violation of the FFCRA, the CARES Act, the California Health & Safety Code, and the California Insurance Code, FAC, ¶ 45.

The Complaint does not, however, allege that these statutes required defendants to pay a specific price for the COVID testing performed by providers like itself. Moreover, Plaintiff has not alleged how Defendant violates these statutes. The cause of action generally uncertain and lack factual allegations support its legal conclusions.

The Demurrer to the fourth cause of action is for violation of California Business and Professions Code sections 17200 et seq. is **SUSTAINED WITH LEAVE TO AMEND**.

5. Fifth Cause of Action: Open Book Account

Plaintiff's fifth cause of action is for open book account.

The elements of an open book account cause of action are: (1) plaintiff and defendant had financial transactions, (2) plaintiff kept an account of the debits and credits involved in the transactions, (3) defendant owes plaintiff money on the account, and (4) the amount of money that defendant owes plaintiff. (*State Compensation Insurance Fund v. ReadyLink Healthcare, Inc.* (2020) 50 Cal.App.5th 422, 449; see also Code of Civ. Proc., § 334, subd. (b).)

"A book account is a written record of the credits and debts between parties to a contract/in a fiduciary relationship." (CACI 372.) "The contract may be oral, in writing, or implied by the parties' words and conduct." (CACI 372.) "A book account is 'open' if entries can be added to it from time to time." (*Ibid*.)

Here, the Court finds that Plaintiff is not entitled to an open book account from Defendant because Plaintiff has not alleged the requisite contractual or fiduciary relationship that would entitled it to an open book account. Moreover,

The demurrer to the fifth cause of action for open book account is **SUSTAINED WITH LEAVE TO AMEND.**

6. Sixth Cause of Action: Account Stated

Plaintiff's sixth cause of action is for account stated.

"An account stated is 'an agreement, based on prior transactions between the parties, that the items of an account are true and that the balance struck is due and owing.'" (*Professional Collection Consultants v. Lauron* (2017) 8 Cal.App.5th 958, 968 [citing *Maggio*, *Inc*. *v*. *Neal* (1987) 196 Cal.App.3d 745, 752].) "[A]n element essential to render the account stated is that it receive the assent of both parties, but the assent of the party sought to be charged may be implied from his conduct." (Ibid.)

"When an account stated is 'assented to, either expressly or impliedly, it becomes a new contract.' " (*Professional Collection Consultants v. Lauron* (2017) 8 Cal.App.5th 958, 968 [citing *Gardner v. Watson* (1915) 170 Cal. 570, 574].) "The theory of an account stated is that it becomes a contract between the parties for payment of the amount computed to be due without proof of the specific items included therein." (*Id*.) "Accordingly, an action on an account stated is not based on the parties' original transactions, but on the new contract under which the parties have agreed to the balance due." (*Id*.)

Here, the Court finds that Plaintiff has not alleged the requisite contractual relationship or agreement/meeting of the minds with Defendant in order to assert an account stated cause of action.

The Demurrer to the sixth cause of action is **SUSTAINED WITH LEAVE TO AMEND**.

7. Seventh Cause of Action: Unjust Enrichment

Plaintiff's seventh cause of action is for unjust enrichment.

		“There is no cause of action in California labeled ‘unjust enrichment.’ ” (*City of Oakland v. Oakland Raiders* (2022) 83 Cal.App.5th 458, 477.) “Common law principles of restitution require a party to return a benefit when the retention of such benefit would unjustly enrich the recipient; a typical cause of action involving such remedy is ‘quasi-contract.’ ” (*City of Oakland v. Oakland Raiders* (2022) 83 Cal.App.5th 458, 477-478.) “The equitable doctrine of unjust enrichment “is based on the idea that ‘one person should not be permitted unjustly to enrich himself at the expense of another, but should be required to make restitution of or for property or benefits received, retained, or appropriated, where it is just and equitable that such restitution be made, and where such action involves no violation or frustration of law or opposition to public policy, either directly or indirectly.’ ” (*City of Oakland v. Oakland Raiders* (2022) 83 Cal.App.5th 458, 478.) “Typically, the defendant’s benefit and the plaintiff's loss are the same, and restitution requires the defendant to restore the plaintiff to his or her original position.” (*City of Oakland v. Oakland Raiders* (2022) 83 Cal.App.5th 458, 478.) “To confer a benefit,” however, “it is not essential that money be paid directly to the recipient by the party seeking restitution.” (Ibid. [citations omitted].) “When a person has received a benefit from another, he or she is required to make restitution only if the circumstances of its receipt or retention are such that, as between the two persons, it is unjust for him [or her] to retain it.” (Ibid. [citations and quotations omitted].) Here, Plaintiff expressly alleges that the benefit conferred was to Defendant’s members. In paragraph 61 of the FAC, Plaintiff alleges: “Defendants knew, understood, and accepted that Plaintiff was undertaking to perform beneficial COVID-19 testing and services for their members and that such testing and services were not free.” (FAC, ¶ 61.) As such, the Court finds that Plaintiff has not alleged the equitable remedy of unjust enrichment because Plaintiff as not alleged a benefit that Defendant received from Plaintiff. The demurrer to the <u>seventh cause of action</u> for unjust enrichment is **SUSTAINED WITH LEAVE TO AMEND.** **8. Eighth Cause of Action: Declaratory Relief** Plaintiff’s eighth cause of action is for declaratory relief. For the reasons discussed above, the demurrer is **SUSTAINED WITH LEAVE TO AMEND** as to the <u>eighth cause of action</u> is for declaratory relief. *Leave to amend is within **20 days of this order**.* **Defendant to give notice.**
2.	**30-2025-01494594** **Ahrens vs. Innovative Health Management Partners, LLC**	**1. Case Management Conference** **2. Demurrer to Amended Complaint** Defendants, Innovative Health Management Partners, LLC; Orthopedic Institute of Newport Beach, Limited Partnership; Orthopedic Institute of Newport Beach General Partnership, PC; and Orthopedic Institute of Newport Beach Holding Company, PC (collectively, “Defendants”) move

for an order sustaining a demurrer to the entire First Amended Complaint ("FAC") of Plaintiff, Carla Denyse Ahrens ("Plaintiff"). Based on applicable law, and as set forth herein, said Demurrer is **OVERRULED**.

On April 23, 2026, the Court sustained Defendants' demurrer to the entirety of Plaintiff's initial complaint, with leave to amend, on the grounds that Plaintiff had not pled sufficient facts to support the extraterritorial application of California employment law in this case.

Defendants contend that the FAC still fails because Plaintiff has still not pled sufficient facts to demonstrate a substantial connection to California.

The FAC asserts three causes of action against Defendants. The first two causes of action assert violations of the Fair Employment and Housing Act ("FEHA") for age discrimination (first cause of action) and failure to take all reasonable steps necessary to prevent harassment and discrimination (second cause of action). Plaintiff's third cause of action is for wrongful and tortious discharge in violation of public policy based on Article I, Section 8 of the California Constitution, the FEHA, and the public policy of the State of California.

The FAC alleges that Plaintiff is a 70-year old female who was employed by Defendants for approximately 23 years before she was wrongfully terminated in November 2023; that at the time of hire and for the majority of Plaintiff's employment, Plaintiff was a resident of the State of California; that in or around 2020, Defendants allowed Plaintiff to work remotely from Texas where she continued her employment for Defendants in the same position and continued to provide services *exclusively* for the same location in Orange County, California; that Plaintiff currently resides in the State of Texas; and that Plaintiff continued to work remotely for Defendants' businesses located in California before she was wrongfully terminated in November 2023. (FAC, ¶¶ 4, 19, 26.)

As this Court expressed in ruling on Defendants' first demurrer, "California law contains a presumption against extraterritorial application of remedial statutes." (*Sarviss v. General Dynamics Information Technology, Inc.* (C.D. Cal. 2009) 663 F. Supp. 2d 883, 897 [finding presumption against extraterritorial application of California wage and hour law applies where the plaintiff sought overtime and payment for missed meal and rest periods only incurred outside of California].) " 'Although a state may have the power to legislate concerning the rights and obligations of its citizens with regard to transactions occurring beyond its boundaries, the presumption is that it did not intend to give its statutes any extraterritorial effect. The intention to make the act operative, with respect to occurrences outside the state, will not be declared to exist unless such intention is clearly expressed or reasonably to be inferred 'from the language of the act or from its purpose, subject matter or history." ' [Citation.]" (*Diamond Multimedia Systems, Inc. v. Superior Court* (1999) 19 Cal.4th 1036, 1059.)

Cal. Code Regs. tit. 2, § 11008 states, in relevant part: "(C) Employees located inside and outside of California are counted in determining whether employers are covered under the Act. However, employees located outside of California are not themselves covered by the protections of the Act if the allegedly unlawful conduct did not occur in California, or the allegedly unlawful conduct was not ratified by decision makers or participants in unlawful conduct located in California." (Cal. Code Regs., tit. 2, § 11008(e)(1)(C).) The " 'Act' means the California Fair Employment and Housing Act, created by Government Code section 12900." (Cal. Code Regs., tit. 2, § 11002(f).)

Campbell v. Arco Marine, Inc. (1996) 42 Cal.App.4th 1850, is controlling as it involved "the question of whether to construe the California Fair Employment and Housing Act to cover the sexual harassment claims of an employee of a California-based company who is not herself a resident of California, whose employment duties were performed, for the most part, outside the boundaries of the state, and whose injuries are based on behavior occurring outside the state." (*Campbell v. Arco Marine, Inc.* (1996) 42 Cal.App.4th 1850, 1852 ("*Campbell*").) The Court of Appeal affirmed the grant of summary judgment, holding that the Fair Employment and Housing Act was not intended to apply to nonresidents where the tortious conduct took place out of this state's territorial boundaries, and did not apply in that case as the acts of sexual harassment occurred outside the boundaries of California. (*Ibid*.)

As Plaintiff's third cause of action for wrongful discharge in violation of public policy is based, in part on the FEHA, *Campbell* is applied to all of Plaintiff's claims.

In *Tetrault v. Capital Group Companies Global*, the Central District of California considered the application of *Campbell* to various FEHA claims, including claims for discrimination and wrongful discharge. (*Tetrault v. Capital Group Companies Global* (C.D. Cal., Jan. 17, 2024, No. 2:23-CV-5144-WLH-E) 2024 WL 3468903, at *5 - *6.) In so doing, the Court surveyed how District Courts in three other cases applied *Campbell* in the context of a FEHA discrimination claim. The *Tetrault* Court persuasively concluded:

> Despite the differing outcomes, all three matters stand for the general proposition that FEHA may extend extraterritorially to non-California residents if the discriminatory conduct at issue occurred in California. *See, e.g. Gonsalves,* 2010 WL 1854146 at *5 (relying on *Campbell* to find that extraterritorial application of FEHA was not improper if complaint pled that "the discriminatory conduct occurred in California."). As such, the Court must examine the nexus between California and the allegedly discriminatory conduct and determine if the Plaintiff sufficiently identified the individuals who engaged in discriminatory conduct from California.

(*Tetrault*, at *6.)

In *Hill v. Workday, Inc.*, the Northern District of California considered whether a plaintiff, who was a citizen and resident of Maryland, was entitled to the extraterritorial application of California laws to him and his employment to allow his claims under FEHA. (*Hill v. Workday, Inc.* (2025) 773 F. Supp. 3d 779, 793 ("*Hill*").) The *Hill* Court stated:

> While 'the FEHA imposes no residency requirement on either the employer or the person aggrieved and limitation based on where the conduct occurred[,]' 'the majority of courts in California and other jurisdictions have found that the extraterritorial application of FEHA is determined by the situs of both [(1)] employment and [(2)] the material elements of the cause of action, [as] opposed to residence of the employee or the employer.' [Citation.]" (*Ibid*.) "In an extraterritoriality analysis, the situs of employment consists of the employee's 'principal place of work,' the employee's 'definite base of operations,' or the 'location where the employee's work holds a substantial connection to.' [Citation.] . . .
>
> ***
>
> For the extraterritoriality analysis, the situs of the material elements of the cause of action factor examines whether or not the Complaint establishes a substantial connection of the situs of legally relevant events to California. [Citation.] To determine whether a party has established a substantial connection of the situs of legally relevant events to California, courts look to the 'location of where the core of the alleged wrongful conduct occurred.' [Citation.] 'The Ninth Circuit has analyzed this factor by evaluating whether the core of the claim, such as termination decision, occurred within California.' [Citation.] 'In evaluating similar wrongful termination cases, California courts have emphasized the location of

		where the termination decision was made as a crucial element of the claim because this decision gives rise to the liability of the conduct.' [Citations.] (*Hill, supra,* 773 F.Supp.3d at pp. 793-794.) Here, although Plaintiff is not a resident of California and worked from her residence in Texas, the FAC alleges that "Plaintiff's job duties involved *exclusively* scheduling patients' appointments and maintaining the schedules of multiple physicians who serviced patients at Defendants' office in Orange County, California;" throughout Plaintiff's employment she provided services exclusively for one location in Orange County, California. (FAC ¶¶ 16-19 (emphasis added).) Further, "[t]he decision to terminate Plaintiff was ratified by CEO/Executive Director, Laurie Gallagher, and Executive Assistant, Stephanie Morales, who both worked out of Defendants' Newport Beach, California, office." (FAC ¶ 29.) A Termination Letter was sent by Defendants' Executive Director, Laurie Gallagher, and issued from Defendants' Orange County, California location. (FAC ¶ 30.) These allegations are sufficient to show that the alleged age discrimination and wrongful termination occurred in California. Accordingly, the demurrer is **OVERRULED**. Defendants are to **file and serve their Answer within 20 days.** The Court **GRANTS** Defendants' request for judicial notice. **Defendants to give notice.**
3.	**30-2025-01503271** **Baskharoon vs. PHH Mortgage Corporation**	**1 Case Management Conference** **2. Demurrer to Complaint** Defendants PHH Mortgage Corporation and Ocwen Financial Services, Inc. ("Defendants") demur to the Complaint of plaintiffs Miranda H Baskharoon and Tony H Baskharoon ("Plaintiffs") on the ground that it fails to state facts sufficient to constitute a cause of action. The Court notes that no opposition has been filed. The failure to oppose a demurrer may be construed as abandonment of the claims. (See *Herzberg v. County of Plumas* (2005) 133 Cal.App.4th 1, 20 ["Plaintiffs did not oppose the County's demurrer to this portion of their seventh cause of action and have submitted no argument on the issue in their briefs on appeal. Accordingly, we deem plaintiffs to have abandoned the issue."].) In addition, it is axiomatic the failure to challenge a contention in a brief results in the concession of that argument. (*DuPont Merck Pharmaceutical Co. v. Superior Court* (2000) 78 Cal.App.4th 562, 566; *Westside Center Associates v. Safeway Stores 23, Inc*. (1996) 42 Cal.App.4th 507, 529.) The Court construes the failure to oppose the Demurrer as abandonment of Plaintiffs' claims. Therefore, the unopposed Demurrer is **SUSTAINED in its entirety with 20 days leave to amend**. **Defendants to give notice.**

4.	**30-2026-01566933** **In re: Petition of CBC Settlement Funding, LLC**	**1. Order to Show Cause** **(re: Transfer of Structured Settlement Payments)** ***** No Tentative Ruling- it appears the court already signed the operative Order.****
7.	**30-2025-01492743** **Sam's Real Estate Business Trust vs. West Coast Fullerton Crossings, LLC**	**1. Motion for Preliminary Injunction** *****Court already ruled on this Motion on 3/19/26.*****
8.	**30-2024-01440007** **Quant vs. General Motors, LLC**	**1. Case Management Conference** **2. Motion to Compel Production** **3. Motion to Deem Facts Admitted** Defendant General Motors, LLC ("Defendant") filed two discovery motions: (1) motion to compel Plaintiff Nicole L. Quant ("Plaintiff") to provide verified responses to Request for Production, Set One and (2) motion to deem Requests for Admission, Set One admitted against Plaintiff. Defendant did not request sanctions in either motion. Plaintiff's counsel opposed the motion, stating that Plaintiff has not provided verified responses to the discovery because counsel has been unable to reach or "establish contact with Plaintiff" and this "matter is presently burdened by a recent breakdown of the attorney-client relationship." Plaintiff's counsel asks the Court to deny the motion or order a brief continuance to allow counsel to reestablish contact with Plaintiff. **<u>MOTION TO COMPEL RESPONSES TO REQUESTS FOR PRODUCTION</u>** Pursuant to Code of Civil Procedure section 2031.300, a party who fails to serve timely responses to requests for production waives any objection to the requested discovery. (Code Civ. Proc., § 2031.300, subd. (a).) The party propounding the requests for production may move for an order compelling responses to the discovery. (Code Civ. Proc., § 2031.300, subd. (b).) "Unlike a motion to compel further responses, a motion to compel responses is not subject to a 45–day time limit, and the propounding party does not have to demonstrate either good cause or that it satisfied a 'meet and confer' requirement." (*Sinaiko Healthcare Consulting, Inc. v. Pacific Healthcare Consultants* (2007) 148 Cal.App.4th 390, 404.) Monetary sanctions are mandatory against any party, person, or attorney who unsuccessfully makes or opposes a motion to compel responses to requests for production, unless the court finds that the one subject to the sanctions acted with substantial justification or that other circumstances make the imposition of the sanctions unjust. (Code Civ. Proc., § 2031.300, subd. (c).) Here, the discovery at issue was served on 01/02/2025. Plaintiff has not provided any responses. The Court is not persuaded by the opposition's request for additional time to provide the discovery. Well-over a year has passed since the discovery responses were due and this egregious delay is not in the interest of justice. The Court will not continue the hearing on this motion to allow Plaintiff additional time to respond. Plaintiff initiated this lawsuit and must participate in the discovery process.

		The motion is **GRANTED**. <u>Plaintiff shall provide verified responses without objections to Requests for Production, Set One **within 30 days**.</u> **No sanctions** were requested and therefore no sanctions are awarded. **<u>MOTION TO DEEM ADMITTED</u>** Code of Civil Procedure section 2033.280 provides that if a party to whom requests for admission are directed fails to serve a timely response, the party waives any objection to the requests. (Code Civ. Proc., § 2033.280.) The requesting party may also move for an order that the genuineness of documents and the truth of any matters specified in the requests be deemed admitted. (Code Civ. Proc., § 2033.280. subds. (a)-(b).) The court shall deem the matters admitted unless it finds that the party to whom the requests for admission have been directed has served, before the hearing on the motion, a proposed response to the requests for admission that is in substantial compliance with Section 2033.220. (Code Civ. Proc., § 2033.280, subd. (c).) Monetary sanctions are mandatory against the party or attorney who necessitated the motion unless the court finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust. (*Ibid*.) Here, the discovery at issue was served on 01/02/2025. Plaintiff has not provided any responses. Unless Plaintiff provides verified responses to Requests for Admission, Set One before the hearing on the motion, the motion will be **GRANTED** and Requests for Admission, Set One will be deemed admitted against Plaintiff. **No sanctions** were requested and therefore no sanctions are awarded. **Defendant to give notice.**
9.	**30-2025-01527789** **Tai Fung Bank Limited vs. Hui**	**1. Case Management Conference** **2. Motion-Other** **(for Issuance of Letters Rogatory for Service of Cross-Complaint)** **3. Motion to Compel Deposition (Oral or Written)** **4. Motion to Dismiss** **<u>Motion to Dismiss Cross-Complaint:</u>** Plaintiff/cross-defendant Tai Fung Bank Unlimited ("Tai Fung") moves for an order dismissing the Cross-Complaint of defendant/cross-complainant Shen Hui ("Shen") pursuant to the doctrine of forum non conveniens and the existence of an exclusive forum selection clause. Alternatively, Tai Fung requests a finding that each claim asserted in Shen's Cross-Complaint fails to state sufficient facts to constitute a cause of action. " 'In a contract dispute in which the parties' agreement contains a forum selection clause, a threshold issue in a forum non conveniens motion is whether the forum selection clause is mandatory or permissive.' " (*Korman v. Princess Cruise Lines, Ltd.* (2019) 32 Cal.App.5th 206, 215.) "A clause is mandatory if it requires the parties to litigate their disputes exclusively in the designated forum, and it is permissive if it merely requires the parties to submit to jurisdiction in the designated forum. A permissive forum selection clause is subject to traditional forum non

conveniens analysis to determine whether the designated forum is a suitable alternative forum and whether the balancing of various private and public interest factors favors retaining the action in California. These traditional forum non conveniens factors are not considered when a mandatory forum selection clause exists." (*Verdugo v. Alliantgroup, L.P.* (2015) 237 Cal.App.4th 141, 147, fn. 2 [internal citations omitted].)

" 'When a case involves a mandatory forum selection clause, it will usually be given effect unless it is unfair or unreasonable. [Citation.]' 'Both California and federal law presume a contractual forum selection clause is valid and place the burden on the party seeking to overturn the forum selection clause. [Citations.]' 'It is well settled that parties may contract in advance to select the forum in which their disputes will be adjudicated. [Citation.]' " (*Korman*, *supra*, 32 Cal.App.5th at p. 216 [internal citations omitted].)

" 'In the context of forum selection clauses, enforcement is considered unreasonable where "the forum selected would be unavailable or unable to accomplish substantial justice" or there is no "rational basis" for the selected forum. [Citation.]' " (*Korman*, *supra*, 32 Cal.App.5th at p. 216 [internal citations omitted].) " ' " 'Mere inconvenience or additional expense is not the test of unreasonableness . . .' " for a mandatory forum selection clause. [Citation.]' [Citation.] A clause is reasonable if it has a logical connection with at least one of the parties or their transaction." (*Verdugo*, *supra*, 237 Cal.App.4th at p. 147.)

Shen's Cross-Complaint arises out of Shen's personal guaranty of a loan made by Tai Fung to WM Group. Shen alleges he was induced to enter into the guaranty by Cross-Defendants' misrepresentations. Section 14.1 of the guaranty provides, in relevant part:

> (b) The courts of Hong Kong have exclusive jurisdiction to settle any dispute arising out of or in connection with this Guarantee (including a dispute regarding the existence, validity or termination of this Guarantee) (a "Dispute").

Section 14.1(d) goes on to provide that "the Lender shall not be prevented from taking proceedings relating to a Dispute in any other courts with jurisdiction. To the extent allowed by law, the Lender may take concurrent proceedings in any number of jurisdictions."

Section 14.1(b) presents a mandatory forum selection clause which designates Hong Kong as the exclusive jurisdiction to settle Shen's disputes against Cross-Defendants regarding the guaranty. This clause must be enforced unless Shen meets his burden to show enforcement would be unfair or unreasonable.

Shen argues the provision should not be enforced the contract is asymmetrical and allows Tai Fung to sue in any other court with jurisdiction and to maintain concurrent proceedings, whereas Shen is limited to only courts in Hong Kong. Shen argues that Tai Fung cannot simultaneously be permitted to seek affirmative relief in its own action while dismissing Shen's related crossclaims based on its one-sided portrayal of the same contractual provisions.

Shen cites *Trident Labs, Inc. v. Merrill Lynch Commercial Finance Corp*. (2011) 200 Cal.App.4th 147 in support. While *Trident* involved a forum selection clause that, similar to here, had a mandatory forum selection clause as to the borrower but allowed the lender the discretion to enforce the loan documents in other jurisdictions, the *Trident* court held that the clause was unenforceable due to the lender's decision to extensively litigate in the original forum, not to any asymmetry or unconscionability of the clause. (200 Cal.App.4th at p. 155.) Here, Tai Fung has not chosen to extensively litigate Shen's crossclaims and has not sat on its right to seek enforcement of the forum selection clause, as in *Trident*. Thus, *Trident* does not support Shen's argument.

Further, Shen's argument that dismissal should not be granted because Tai Fung has filed its own action in California seeking affirmative relief is also unpersuasive, as Tai Fung's filing of its action for recognition of the Hong Kong judgment in California was based solely on the fact that California has personal jurisdiction over Shen as a resident of Orange County. There is nothing inherently unconscionable or unreasonable in allowing Tai Fung to attempt to enforce its Hong Kong judgment here, where Shen resides, while also enforcing the mandatory forum selection clause against Shen's claims.

Shen also argues dismissal would be premature because the provision is potentially unconscionable and targeted discovery into the enforceability of the agreement and whether it was freely and voluntarily entered into by him must be conducted. Shen asserts that he was to sign signature the contract without complete finalized copies or independent counsel. Shen's argument that discovery into the unconscionability of the contract falls flat, as facts regarding whether Shen freely and voluntarily agreed to the contract are already within his own knowledge and no additional discovery is needed for Shen to set forth any facts regarding the execution of the guaranty that could support a finding of unconscionability. Further, while Shen alleges that the loan to WM Group and his guarantee of that loan were part of a bundled transaction involving other agreements, this does not negate the fact that his Cross-Complaint, which expressly seeks rescission of the guaranty, arises out of or is connected to the guaranty contract that contains the forum selection clause. Thus, the Court finds that additional discovery is unwarranted.

In light of the above, the Court finds Shen has failed to show that enforcement of the mandatory forum selection clause would be unreasonable or unfair. Thus, the clause must be enforced and the **Motion to Dismiss** is **GRANTED**.

Moving party to give notice.

<u>Motion to Compel Deposition; Motion Directing Issuance of Two Separate Letters Rogatory of the People's Republic of China</u>

Defendant/cross-complainant Shen Hui ("Shen") moves for an order compelling plaintiff/cross-defendant Tai Fung Bank Unlimited ("Tai Fung") Tai Fung to produce David Jian Wei Shen and Justin Ho King Man for deposition. Shen separately moves for an order authorizing and directing the issuance of two separate Letters Rogatory to the People's Republic of China for the purpose of effecting service of the Summons and Cross-Complaint on Cross-Defendants residing in Beijing, China.

<u>Motion to Compel Deposition</u>

Shen served Notices of Deposition of David Jian Wei Shen and Justin Ho King Man with each deposition to take place in Newport Beach, California. Shen concedes that the Court cannot compel these deponents, who live in a foreign country, to attend a deposition in California and that the Notices of Deposition are therefore ineffective.

Shen asks the Court to compel the deponents' appearance at their depositions in person in Macao or Hong Kong or remotely by videoconference. While Code of Civil Procedure section 2027.010 allows a party to take a deposition in a foreign nation, it also states that the procedures for taking oral depositions in California, which require the valid service of a deposition notice, apply to such deposition. (Code Civ. Proc., § 2027.010(a).) Without having served any valid deposition notice for

<table>
<tr><td></td><td></td><td>
the requested depositions to take place in Macao or Hong Kong, Shen’s requested relief is denied. In short, Shen cannot seek to compel discovery that he has not sought in a manner that complies with the Code.
Alternatively, Shen asks that the Court order Tai Fung to designate David Shen and Justin Man as its persons most qualified on any topic. Shen cites no authority showing that this requested relief is proper or warranted. Shen has not attached any deposition notice served on Tai Fung that would require Tai Fung to designate a person most knowledgeable on specified topics or issues. Thus, this request is rejected.
In light of the above, the Motion to Compel Deposition is DENIED.
<u>Motion re: Issuance of Letters Rogatory for Service of Cross-Complaint</u>
Shen requests the issuance of letters rogatory for service of the Cross-Defendants who reside in China pursuant to Code of Civil Procedure section 413.10(c). Section 413.10 provides that a summons may be served on a person outside the United States as directed by the foreign authority in response to a letter rogatory, if the court finds that the service is reasonably calculated to give actual notice. The section expressly states that these rules are subject to the Hague Service Convention.
Letters rogatory are “formal request[s] from a court in which an action is pending, to a foreign court to perform some judicial act.” (22 C.F.R. § 92.54.)
China is a signatory to the Hague Service Convention but has opposed Articles 10(b) and (c), which allow for service to be effected directly through judicial officers, officials, or other competent persons or any person interested in a judicial proceeding to effect service directly through the judicial officers, officials, or other competent persons. Shen’s request for letters rogatory fall within Articles 10(b) and (c) and because China has opposed those Articles, the request is improper.
Instead, Shen must serve the foreign Cross-Defendants through China’s designated Central Authority in accordance with the Hague Convention. Thus, the Motion is DENIED.
Moving party to give notice.
</td></tr>
<tr><td>10.</td><td>30-2025-01518369

Chadwick vs. General Motors, LLC</td><td>
1. Motion for Attorney Fees
Plaintiffs Karyssa and Jeffrey Chadwick (“Plaintiffs”) move for an order awarding them attorney fees pursuant to Civil Code section 1794(d), in the amount of $14,665, along with costs/expenses of $648.48, plus a lodestar multiplier of 20% ($2,933) against defendant General Motors LLC (“Defendant”).
Civil Code section 1794(d) states: “If the buyer prevails in an action under this section, the buyer shall be allowed by the court to recover as part of the judgment a sum equal to the aggregate amount of costs and expenses, including attorney’s fees based on actual time expended, determined by the court to have been reasonably incurred by the buyer in connection with the commencement and prosecution of such action.” “As the plain wording of section 1794, subdivision (d) makes clear, the trial court is ‘to base the fee award upon actual time expended on the case, as long as such fees are reasonably incurred—both from the standpoint of time spent and the amount charged.’ ” (Mikhaeilpoor v. BMW of North America, LLC (2020) 48 Cal.App.5th 240, 247.) “Under the lodestar adjustment methodology, the trial court must initially determine the actual time expended
</td></tr>
</table>

		and then 'ascertain whether under all the circumstances of the case the amount of actual time expended and the monetary charge being made for the time expended are reasonable.' " (*Ibid.*) This action was filed in October 2025. The parties engaged in streamlined AB 1755 initial disclosures and began to coordinate deposition dates. There was no motion practice and no depositions were taken. Counsel billed a total of 19.7 hours over the span of the litigation, and also requests fees for an additional 6.5 hours of anticipated time in connection with this motion. Tim Whelan is a partner with over 18 years of experience and seeks an hourly rate of $600. Aliaksandra Vlitskaya is a partner with over 11 years of experience and seeks an hourly rate of $550. Defendant objects to these hourly rates. Based on the Court's experience with Song-Beverly actions and knowledge of the prevailing rates for similar cases in Orange County, the Court finds the rates to be high. The Court finds that hourly rates of $500 per hour for attorney Whelan and $400 for attorney Vlitskaya are appropriate in this case. As to the amount of time expended, the Court agrees with Defendant that the time requested in anticipation of reviewing the opposition, preparing a reply and attending the hearing on the fee motion is excessive. The Court finds that the amount of anticipated time for the reply and hearing should be reduced from 6.5 hours down to 3 hours of Vlitskaya's time. The Court finds the remaining time for tasks to be reasonably incurred and recoverable. Defendant argues all prelitigation time before the Complaint was drafted and filed should be stricken as unrecoverable overhead. However, section 1794(d) expressly provides that a prevailing buyer may recover attorney's fees that were reasonably incurred "in connection with the commencement and prosecution of such action." The prelitigation time spent on intake of the case was incurred in connection with the commencement of this action and is therefore recoverable. As to costs, the only disputed item is electronic filing and service fees of $103.48. Plaintiffs have submitted invoices in connection with their reply showing that the costs were actually incurred, and they appear reasonable. Accordingly, the Court will award the full $648.48 in costs requested. The Court declines to award a lodestar multiplier, as the Court does not find that the case was particularly complicated or that it involved any novel questions of law. In light of the above, Plaintiffs' Motion for Attorney Fees is **GRANTED** in the reduced amount of $9,590 in fees (5.1 hrs at $500/hr + 17.6 hrs at $400/hr) and $648.48 in costs, for a total award of **$10,238.48**. **Moving party to give notice.**
11.	**30-2024-01434147** **Darling vs. SRPP III, LP**	**1. Motion for Leave to File Amended Complaint** Plaintiffs Oriann Clair Darling and Lucas Budwig's ("Plaintiffs") Motion for Leave to File First Amended Complaint is **GRANTED** pursuant to Code of Civil Procedure sections 473 and 576. Pursuant to Code of Civil Procedure section 473, subdivision (a), the court may, "in its discretion, after notice to the adverse party, allow, upon any terms as may be just, an amendment to any

pleading or proceeding in other particulars…." (Code Civ. Proc., § 473, subd. (a).) Additionally, "[a]ny judge, at any time before or after commencement of trial, in the furtherance of justice, and upon such terms as may be proper, may allow the amendment of any pleading…." (Code Civ. Proc., § 576.)

"[T]he trial court has wide discretion in allowing the amendment of any pleading" (*Melican v. Regents of University of California* (2007) 151 Cal.App.4th 168, 175) and such discretion "will usually be exercised liberally to permit amendment of the pleadings." (*Howard v. County of San Diego* (2010) 184 Cal.App.4th 1422, 1428.) "The policy favoring amendment is so strong that it is a rare case in which denial of leave to amend can be justified." (*Ibid.*) Additionally, "[w]here no prejudice is shown to the adverse party, the liberal rule of allowance prevails." (*Higgins v. Del Faro* (1981) 123 Cal.App.3d 558, 564.)

Here, Plaintiffs seek leave to file a First Amended Complaint, which adds causes of action for breach of the implied warranty of habitability, bad faith retention of security deposit, and fraud/intentional misrepresentation, along with a prayer for punitive damages under Civil Code section 3294. (Darling Decl. ¶4, Exh. A.) Per Plaintiffs, "[t]he additional causes of action arise from the same core facts already alleged in the original Complaint and are included to more fully conform the pleadings to the evidence." (Darling Decl. ¶ 6.) At the time the original complaint was filed, Plaintiffs were not aware of the significance of certain communications as constituting fraud; Plaintiffs have since discovered additional information, which has now led Plaintiffs to believe that misrepresentations and concealments in this case were not the result of mistake, but were part of a broader pattern and practice of intentional misrepresentation and concealment. (Darling Decl. ¶¶12-13.)

In opposition, Defendant first contends that Plaintiffs' proposed fraud and punitive damage claims rest on a "pattern and practice" theory that Plaintiffs' own exhibits disprove. Plaintiffs contend that the fraud claims are based, in part, on their discovery of other, related lawsuits against Defendant involving Defendant's misconduct as a landlord. Defendant contends that it is not a party to *Rivera v. Sullivan Property Management, LLC, et al*. (OCSC Case No. 2023-01300434). However, the docket in that case reflects that Defendant was named as a party through a Doe Amendment. (See ROA 326, Darling Supp. Decl. ¶ 49, Exh. N.)

Further, Defendant contends that the allegations of the other lawsuits are simply unproven allegations. Defendant additionally contends that the proposed fraud allegations do not meet the heightened specificity requirement.

Ordinarily, the trial court will not consider the validity of the proposed amended pleading in deciding whether to grant leave to amend. Grounds for demurrer or motion to strike are premature. After leave to amend is granted, the opposing party will have the opportunity to attack the validity of the amended pleading. (*See Kittredge Sports Co. v. Sup.Ct. (Marker, U.S.A.)* (1989) 213 Cal.App.3d 1045, 1048; *Atkinson v. Elk Corp.* (2003) 109 Cal.App.4th 739, 760 ("the better course of action would have been to allow [plaintiff] to amend the complaint and then let the parties test its legal sufficiency in other appropriate proceedings").)

Here, it is not abundantly clear that Plaintiffs will not be able to plead their proposed causes of action. Therefore, the better course of action in this case is to allow Defendant to test the pleadings by way of a demurrer or motion to strike.

Defendant further asserts that it will be substantially prejudiced because Plaintiff delayed in seeking leave to amend.

		First, part of that delay is attributable to Defendant's refusal to stipulate to allowing Plaintiffs to amend. Plaintiffs contend that on April 13, 2026, they "requested that Defendants stipulate to the filing of a proposed first amended complaint to add the above-referenced causes of action and punitive damages." (Darling Decl. ¶ 22.) However, Defendants declined the request. (*Id.*) Further, "[w]here no prejudice is shown to the adverse party, the liberal rule of allowance prevails." (*Higgins v. Del Faro* (1981) 123 Cal.App.3d 558, 564.) Within the opposition brief, Defendant argues, essentially, that amendment will require it to expend additional time, effort and resources, responding to the new claims. (See, e.g., Oppn at 2:23-27); however, it is "unreasonable to deny a party the right to amend where the only apparent hardship to the defendants is that they will have to defend." (*Landis v. Superior Court* (1965) 232 Cal.App.2d 548, 557; *see also Jo Redland Trust, U.A.D. 4-6-05 v. CIT Bank, N.A.* (2023) 92 Cal.App.5th 142, 168, citing the same.) "Absent some kind of disadvantage to [Defendant's] defense linked to the passage of time – such as faded memories or lost evidence – delay in and of itself was not a valid reason to deny amendment." (*Jo Redland Trust, U.A.D. 4-6-05 v. CIT Bank, N.A*. (2023) 92 Cal.App.5th 142, 168.) Similarly, the Court in *Landis* noted that it was "unable to find any case in which denial was upheld where the sole basis on which the court relied was lack of diligence at a stage in the proceeding where pretrial or trial had not been set." (*Landis v. Superior Court* (1965) 232 Cal.App.2d 548, 557.) As Defendant has not submitted any evidence that it will be prejudiced in such a manner as to justify denying the motion, the motion for leave to amend is granted. Plaintiffs' requests for <u>judicial notice</u> are **granted** pursuant to Evidence Code §452(d). Plaintiffs ***shall separately file and serve the proposed First Amended Complaint within 10 days***. **Plaintiffs to give notice.**
13.	**30-2017-00960046** **Wosoughkia vs. M3Live Bar & Grill, Inc**	**1. Motion for New Trial** *****No Tentative Ruling.*****
15.	**30-2024-01422667** **Nasr vs. Ride Aventon, Inc.**	**1. Motion for Summary Judgment and/or Adjudication** Defendant Ride Aventon, Inc. seeks a motion for summary judgment as to Plaintiff's Complaint (7 causes of action pled therein), or alternatively, summary adjudication as to *16 issues*. Based on applicable law, and a set forth herein, said Motion is **DENIED**. Notably, pursuant to CCP§437c(f)(1), "A party may move for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty, if the party contends that the cause of action has no merit, that there is no affirmative defense to the cause of action, that there is no merit to an affirmative

defense as to any cause of action, that there is no merit to a claim for damages, as specified in Section 3294 of the Civil Code, or that one or more defendants either owed or did not owe a duty to the plaintiff or plaintiffs. A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty."

Here, for many of the issues to be adjudicated, Defendant seeks adjudication of "elements," rather than the cause of action itself.

Therefore, the Court will address each cause of action, and the claim for emotional distress damages, and punitive damages.

Quantum Cooking Concepts, Inc. v. LV Associates, Inc. (*Quantum*) (2011) 197 Cal.App.4th 927, 934, explains, "Rule 3.1113 rests on a policy-based allocation of resources, preventing the trial court from being cast as a tacit advocate for the moving party's theories by **freeing it from any obligation to <u>comb the record and the law for factual and legal support that a party has failed to identify</u>** <u>or provide</u>. On the record in this case, the trial court was justified in declining to look beyond that failure."

A defendant moving for summary judgment must "show" that *either:*
• one or more elements of the "cause of action … *cannot be established*"; OR
• there is a *complete defense* to that cause of action. [CCP § 437c(p)(2) (emphasis added)]

<u>First Cause of Action for Promissory Fraud</u>

In the Plaintiff's 1st Cause of Action for Promissory Fraud, she pleads:

62. On or about June 14, 2022, Mr. Zhang promised Ms. Nasr a compensation package to induce her to reject the employment offer she received and accepted from eSalon, which included the following terms:

a. An increase in base salary to $330,000/year.

b. Grant Ms. Nasr **equity** that would allow her to own 1% of Aventon, proposing generally a structure of 0.25% vesting per year retroactive to her start date of March 2, 2020 (so 0.50% of Aventon would have been vested at the time Mr. Zhang made the offer, with another 0.25% vesting on March 2, 2023 and the final 0.25% vesting on March 2, 2024). Mr. Zhang represented at that time that the paperwork to grant the equity would need to be completed by its lawyers, but that Aventon would complete documents and convey Ms. Nasr's equity within eight to ten weeks.

c. Change Ms. Nasr's **annual bonus** from being based on individual bike sales to based on overall company performance. Specifically, Ms. Nasr would receive a 2022 bonus of $200,000 based on a target of $200 million in annual sales (e.g. if Aventon reached $200 million in sales in 2022 as projected, Ms. Nasr would receive a $200,000 bonus).

d. Guarantee Ms. Nasr **one year of severance** in the event Aventon terminated her employment within one year.

[Emphasis added, Complaint¶62.]

Defendant first argues that the 1st cause of action is barred by the economic loss rule. Defendant contends the fraud claim is barred by the economic loss rule because it "overlaps" with the contract claims.

The economic loss rule requires a purchaser to recover in contract for purely economic loss due to disappointed expectations, unless he can demonstrate harm above and beyond a broken contractual promise… Quite simply, the economic loss rule "prevent[s] the law of contract and the law of tort from dissolving one into the other." (*Rich Products Corp. v. Kemutec, Inc.* (E.D.Wis.1999) 66 F.Supp.2d 937, 969.) However, even in the *Robinson* case, there are stated exceptions—"See also *Harris v. Atlantic Richfield Co.* (1993) 14 Cal.App.4th 70, 78, ['when one party commits a fraud during the contract formation or performance, the injured party may recover in contract and tort'].) *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979, 990.

Furthermore, Plaintiff cites to the Supreme Court decision in *Lazar v. Superior* (1996) 12 Cal.4th 631, 638–639 which stated:

> An action for promissory fraud may lie where a defendant **fraudulently induces the plaintiff to enter into a contract.** (*Chelini v. Nieri* (1948) 32 Cal.2d 480, 487 ["tort of deceit" adequately pled where plaintiff alleges "defendant intended to and did **induce plaintiff to employ him** by making promises ... he did not intend to (since he knew he could not) perform" (fn. omitted)]; *Kuchta v. Allied Builders Corp.* (1971) 21 Cal.App.3d 541, 549; citing *Horn v. Guaranty Chevrolet Motors* (1969) 270 Cal.App.2d 477, 484; *Squires Dept. Store, Inc. v. Dudum* (1953) 115 Cal.App.2d 320, 323.) In such cases, the plaintiff's claim does not depend upon whether the defendant's promise is ultimately enforceable as a contract. "If it is enforceable, the [plaintiff] ... has a cause of action in tort as an alternative at least, and perhaps in some instances in addition to his cause of action on the contract." (Rest.2d Torts, § 530, subd. (1), com. c., p. 65, cited with approval in *Tenzer v. Superscope, Inc.* (1985) 39 Cal.3d 18, 29.) Recovery, however, may be limited by the rule against double recovery of tort and contract compensatory damages. (*Tavaglione v. Billings* (1993) 4 Cal.4th 1150, 1159.)

[Lazar v. Superior Court (1996) 12 Cal.4th 631, 638–639. Internal citations omitted.]

Given the exceptions and rules stated above, the economic loss rule does not appear to bar the claim. This is an employment case based on promises made to retain an employee, not a case where a purchaser bought a product. Given that, *Lazar* is more on point than *Robinson.*

Defendant next argues, the cause of action is without merit because Plaintiff has no evidence of a false promise, fraudulent intent, or justifiable reliance.

> "The elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage." (5 Witkin, Summary of Cal. Law (9th ed. 1988) Torts, § 6765 Witkin, Summary of Cal. Law (9th ed. 1988) Torts, § 676, p. 778; see also Civ. Code, § 1709; *Hunter*, *supra*, 6 Cal.4th 1174, 1184; *Molko v. Holy Spirit Assn.* (1988) 46 Cal.3d 1092, 1108.)
>
> (3) "Promissory fraud" is a subspecies of the action for fraud and deceit. A promise to do something necessarily implies the intention to perform; hence, where a promise is made without such intention, there is an implied misrepresentation of fact that may be actionable

> fraud. (*Union Flower Market, Ltd. v. Southern California Flower Market, Inc.* (1938) 10 Cal.2d 671, 676 [76 P.2d 503]; see Civ. Code, § 1710, subd. (4); 5 Witkin, Summary of Cal. Law, *supra*, § 685, pp. 786-787.)

[Lazar v. Superior Court (1996) 12 Cal.4th 631, 638.]

First, Defendant argues, "Plaintiff **has no evidence** whatsoever that Aventon promised a 1% equity stake vested 0.25% over a four-year period, guaranteed bonus, or severance, or that the company lacked the intention to perform at the time of the alleged June 14, 2022 conversation." (Motion page 6:12-14.)

Thus, Defendant is attempting to "show" that an essential element of plaintiff's claim cannot be established. But in order to do so, Defendant must present *evidence* that plaintiff "does not possess and *cannot reasonably obtain*, needed evidence." [*Aguilar v. Atlantic Richfield Co.* (2001) 25 C4th 826, 854 (emphasis added).]

Here, Defendant does not make that showing. Rather, it argues that "Plaintiff conceded that during her alleged call with JW there was no discussion about the **amount** of equity she would receive, on what schedule, by what terms, etc. (Nasr Depo. Tr. at 142:11–164:5.)" (Motion page 6:14-16.)

However, that same deposition testimony also indicates that JW promised Plaintiff equity. And while Plaintiff did concede that a **specific number** of equity did not come up in that initial conversation, she did testify that JW's proxy, Ed, came up with 1% number.

Therefore, there are triable issues of material fact as to whether a promise was made relating to "equity". Also, the equity aspect is only one of four promises. Defendant appears to be impermissibly splitting the cause of action by focusing solely on the equity promise and not the other promises.

Defendant next argues (*without citing to any evidence*) that the fact that Aventon actually did perform two of the four alleged terms by executing the 2022 Offer Letter with a higher salary and a bonus structure, undercuts any inference of fraudulent intent at the time of the promise. Arguably, however, this could also mean that JW always intended to pay Plaintiff a higher salary, but never intended to keep the promise as to the other, known, terms to retain Plaintiff.

Therefore, Defendant has not sustained its burden to show Plaintiff has no evidence of lack of promise.

Even assuming Defendant did sustain its burden, Plaintiff argues (*without citation to any UMF or evidence*) that "(1) Mr. Zhang made specific promises to induce Plaintiff to stay – memorialized the following day in her email to Mr. Nevraumont; (2) admittedly Mr. Zhang alone controlled the ability to convey equity in Aventon; (3) there is comprehensive evidence that a completed equity plan sat "waiting for [him] to review" while he told Plaintiff he was "still working on it"; (4) he granted equity to other employees during the same period but never to Plaintiff; and (5) he terminated her after he had obtained what he needed from her to close the Sequoia deal over her insistence for months that he convey the equity." (Opp pg.12:12-19.) Therefore, Plaintiff argues that a reasonable jury could find a false promise made without intent to perform.

Defendant also argues that reliance is not justifiable where it is inconsistent with the clear and unambiguous terms of a contract, and that here, she knew that the 2020 Offer Letter required any modification to be made "by an express written agreement signed by both you and a duly authorized officer of the Company"—which the terms relating to equity and severance were not. In support of this argument, Defendant cites to *Applied Elastomerics, Inc. v. Z-Man Fishing Prods*., No. C06-2469 CW, 2006 WL 3251732, at *6 (N.D. Cal. Nov. 8, 2006). Given this is a 2006 case a more appropriate citation should have been provided. This one could not be located.

Ultimately, whether Plaintiff was justified in her reliance of JW's promises should be determined by a jury.

Finally, Defendant argues that this conclusion (relating to justifiable reliance) is compelled by the broader rule that evidence of promissory fraud "cannot be offered to show a promise which contradicts an integrated agreement." *Alling v. Universal Mfg. Corp.,* 5 Cal. App. 4th 1412, 1436 (1992) (citation omitted). Defendant asserts that the 2022 letter is simply a written modification of the 2020 letter.

In *Alling*, the Court indicated

> "Promissory fraud" is a promise made without any intention of performing it. (Civ. Code, § 1572, subd. 4; *Coast Bank v. Holmes* (1971) 19 Cal.App.3d 581, 591 [97 Cal.Rptr. 30].) The fraud exception to the parol evidence rule does not apply to such promissory fraud if the evidence in question is offered to show a promise which contradicts an integrated written agreement. Unless the false promise is either independent of or consistent with the written instrument, evidence thereof is inadmissible.
>
> The law in California was stated by our Supreme Court as follows: "Our conception of the rule which permits parol evidence of fraud to establish the invalidity of the instrument is that it must tend to establish some independent fact or representation, some fraud in the procurement of the instrument or some breach of confidence concerning its use, and not a promise directly at variance with the promise of the writing."

[Alling v. Universal Manufacturing Corp. (1992) 5 Cal.App.4th 1412, 1436-7.]

Defendant argues that Plaintiff's entire fraud theory rests on alleged oral promises that directly contradict these integrated agreements.

However, only the 2020 letter is integrated. The nature of the 2022 letter is very unclear as it suggests it is a "highlight" of the offer (meaning there are other terms), and "is not a contract".

To the extent Defendant is arguing that the parol evidence rule bars evidence of the oral promises, there are many exceptions to that rule. See CCP§1856.

Again, the only integrated agreement was the 2020 agreement. As such oral promises made by JW in 2022 are not evidence of a prior agreement (prior to 2020), nor are they contemporaneous. As such, they are not parol evidence.

As such, parol evidence would not bar Plaintiff's 1st cause of action.

<u>2nd c/a for Promissory Estoppel</u>

Here, neither party lists the elements of promissory estoppel.

> The elements of a cause of action for promissory estoppel are (1) a promise, (2) the reasonable expectation by the promisor that the promise will induce reliance or forbearance, (3) actual reliance or forbearance, and (4) the avoidance of injustice by enforcing the promise. (*Kajima/Ray Wilson v. Los Angeles County Metropolitan Transportation Authority* (2000) 23 Cal.4th 305, 310.) A cause of action for promissory estoppel is a claim in equity that substitutes reliance on a promise for consideration "in the usual sense of something bargained for and given in exchange." (*Youngman v. Nevada Irrigation Dist.* (1969) 70 Cal.2d 240, 249.) If actual consideration was given by the promisee, promissory estoppel does not apply. (*Id.* at p. 250; see *Raedeke v. Gibraltar Sav. & Loan Assn.* (1974) 10 Cal.3d 665, 672–673; *Avidity Partners, LLC v. State of California* (2013) 221 Cal.App.4th 1180, 1209; *Fontenot v. Wells Fargo Bank, N.A.* (2011) 198 Cal.App.4th 256, 275.)
>
> Although a cause of action for promissory estoppel is inconsistent with a cause of action for breach of contract based on the same facts (see, e.g. *Money Store Investment Corp. v. Southern Cal. Bank* (2002) 98 Cal.App.4th 722, 732), "[w]hen a pleader is in doubt about what actually occurred or what can be established by the evidence, the modern practice allows that party to plead in the alternative and make inconsistent allegations."

[*Fleet v. Bank of America N.A.* (2014) 229 Cal.App.4th 1403, 1412–1413.]

Here, Defendant argues that plaintiff may not recover on a quasi-contract claim if the parties have an enforceable agreement regarding the same subject matter. *Klein v. Chevron U.S.A.,* 202 Cal. App. 4th 1342, 1388 (2012).

However, here, neither the 2020 letter nor the 2022 letter discussed the amount of severance or equity. As such, there are no agreements relating to the **same** subject matter.

3rd c/a for Breach of Oral Agreement

Defendant first argues there was no meeting of the minds on all material points of the alleged oral agreement.

Whether an oral agreement constitutes a final agreement or merely an agreement to make an agreement depends primarily upon the intention of the parties. In the absence of ambiguity, this intention must be determined by a construction of the agreement as a whole, and objective intent as evidenced by the words of an oral agreement, not the parties' subjective intent, governs the court's interpretation of the agreement. If an oral agreement shows no more than an intent to further reduce the agreement to a more formal written agreement, the failure to follow the oral agreement with a more formal writing does not negate the existence of the prior oral contract. However, where an oral agreement shows that it was not intended to be binding until a formal written contract is executed, there is no contract, just as there is no contract until there has been a meeting of the minds on all material points. [See *Elyaoudayan v. Hoffman* (2003) 104 Cal.App.4th 1421, 1423.]

To that end, Defendant argues that Plaintiff repeatedly acknowledged during her deposition that no agreement was ever reached regarding her alleged revised compensation package, especially as to the term for equity.

In opposition, Plaintiff argues, "However, " '[t]he law does not favor but leans against the destruction of contracts because of uncertainty; and it will, if feasible, so construe agreements as to carry into effect the reasonable intentions of the parties if [they] can be ascertained.' " [*Patel v. Liebermensch* (2008) 45 Cal.4th 344, 349.]

Notably, the *Patel* case was one of specific performance. Here, Plaintiff has pled a cause of action for Breach of Contract.

In coming through all of the evidence presented by the parties herein, it appears clear that JW made promises to Plaintiff to entice her to stay at Defendant Company. It also appears clear that as to the promises of equity and severance, while those items may have been promised by JW, *the exact amount was still being negotiated*. There does not appear to be a meeting of the mind as to those terms.

There does appear to have been a meeting of the minds as to compensation ($330K) and bonus (discretionary), as Plaintiff signed the 2022 letter, which set forth both.

Yet, whether the 2022 letter constitutes a new, written contract, or simply a "change order" in support of an oral agreement is unclear and should be determined by the jury. Indeed, the 2022 letter itself indicates it is just highlighting some of the terms and it is not a contract.

Because there was clearly a meeting of the minds as to some terms, but possibly not others, the Court denies the motion as to this cause of action so as to not split the cause of action.

Defendant also argues that the "equity" promise is denied by the Statute of Frauds; however, again, this argument is only directed to a portion of the alleged oral agreement and does not infect the entire agreement. When a promise that is not within the statute of frauds is coupled with one that is, the entire contract is unenforceable unless the promises are held "divisible." [*Pollyanna Homes, Inc. v. Berney* (1961) 56 Cal.2d 676. Arguably, the term relating to equity could be divisible from the terms relating to $330K in compensation.

Finally, Defendant argues that Plaintiff's continued employment for months after executing the 2022 Offer Letter constituted her acceptance of those terms as the complete statement of her compensation as a matter of law. However, Plaintiff argues, and the evidence establishes that Plaintiff was never told that equity and severance were withdrawn; she was told the opposite—that they remained pending and "JW was still working on that." (Nasr Depo. 180:7–18) Arguably, continuing to work in reliance on an assurance that a promised benefit is still coming is not acceptance of its removal.

<u>Fourth Cause of Action for Breach of Written Agreement</u>

In the 4th cause of action for Breach of Written Agreement, the Complaint directs the reader to Ex. A which is the 2020 letter.

Here, Defendant once again argues that Plaintiff has no evidence to substantiate her claim that she is owed bonus money. In Defendant's separate statement, it sets for the material fact as:

> 4. Plaintiff has no documentation to substantiate her claim that she was owed at least $120,000 as a bonus for the year 2021.

As to evidence, Defendant indicates "N/A". However, as established above, Defendant must present *evidence* that plaintiff "does not possess and *cannot reasonably obtain*, needed evidence." [*Aguilar v. Atlantic Richfield Co.* (2001) 25 C4th 826, 854 (emphasis added).] That is, Defendant

		must present evidence that Plaintiff has no evidence. Defendant failed to do so, and thus, did not sustain its burden. Furthermore, Plaintiff disputes this fact as follows: Disputed. With 2021 direct-to-consumer sales exceeding $60 million, the formula in the February 2020 contract yielded well over $120,000; Aventon paid only approximately $38,000. (Nasr Depo 103:18-25) She testified as to her familiarity with the CRM system which contained those numbers supporting her position. Plaintiff maintained a marketing pro forma tracking the sales data needed to run the formula (Nasr Depo. 100:1–5). Applied to 2021's $60-million-plus in direct-to-consumer sales, the formula yields well over $120,000 against the roughly $38,000 paid. Tellingly, Zhang did not defend the payment under the contract formula at all; he invoked a company target and a "verbal" marketing-expense cap he admitted was never "firmly in writing." (Zhang Depo. 75:9–76:5.) Mr. Zhang only offered excuses about how the company had cash flow problems as his reasons for why he would not pay the amount owed. (Nasr Depo. at 104:14-105:16) At his deposition Zhang did not defend the $38,000 payment under the offer-letter formula; instead he justified it by reference to a company sales target and a "10 percent" marketing-expense cap that, he admitted, was only "verbal" and never "firmly in writing." (Zhang Depo. 75:9–76:5 ("I didn't put anything, like, firmly in writing", Zhang Depo at 75:24). He continued that he "couldn't complain" about the return on investment from the company's marketing expenditures. (Zhang Depo. 76:6-22). Therefore, to the extent Defendant did sustain its initial, substantive burden, and the burden thus shifted to Plaintiff to create a triable issue of material fact, she has done so. <u>5th cause of action for Violation of California Business and Professions Code Section 17200</u> Defendant argues that the UCL is derivative of Plaintiff's 4th c/a. Based on Defendant's argument, the claim survives. Defendant also argues there is no showing of willfulness. Defendant improperly cites to Pedroza v. PetSmart, Inc., No. ED CV 11-298, 2012 U.S. Dist. LEXIS 189530, at *13-14 (C.D. Cal. 2012)—which the Court cannot locate. <u>6th c/a Waiting Time Penalties and 7th c/a Wrongful Termination in Violation of Public Policy</u> Defendant argues these causes of action fall or rise based on the outcome of the other causes of action. <u>Emotional Distress Damages & Punitive Damages</u> In connection with the 7th c/a for Wrongful Termination plaintiff pleads emotional distress damages and punitive damages. (Complaint¶¶98, 100, 101.) Defendant argues that emotional distress damages is barred under the exclusive remedy provisions of workers' compensation because "the basic conditions of compensation are otherwise satisfied, and [Aventon's] conduct neither contravenes fundamental public policy nor exceeds the risks inherent in the employment relationship." *Livitsanos v. Sup. Ct*., 2 Cal. 4th 744, 754 (1992). However, a jury could find that retaining an employee based on certain promises, and then terminating that employee to avoid fulfilling the promises (and not paying agreed to wages) could contravene fundamental public policy.

		As to punitive damages, the jury should also determine whether Aventon (through JW) engaged in malicious, oppressive, or **fraudulent conduct**. Accordingly, in total, the subject Motion is **DENIED**. **Plaintiff to give notice.**
16.	**30-2025-01461933** **Rivas vs. Apple, Inc.**	**1. Motion for Summary Judgment and/or Adjudication** Defendant Apple moves for summary judgment on the ground that the undisputed evidence establishes that Rivas's iPhone 13, IMEI 359888174969753, Serial Number FYRRY93PG4 (the "subject iPhone 13") did not undergo any thermal event and did not cause the incident alleged in the operative First Amended Complaint. Plaintiff Herber Henry Anguilar Rivas ("Plaintiff") opposed the motion, arguing that Plaintiff's expert's testimony creates triable issues of material fact that must be determined by the trier of fact. **A. MOTION FOR SUMMARY JUDGMENT BURDENS** Code of Civil Procedure section 437c(c) discusses the moving party's burden on a motion for summary judgment: > "The motion for summary judgment shall be granted if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law. In determining if the papers show that there is no triable issue as to any material fact, the court shall consider all of the evidence set forth in the papers, except the evidence to which objections have been made and sustained by the court, and all inferences reasonably deducible from the evidence, except summary judgment shall not be granted by the court based on inferences reasonably deducible from the evidence if contradicted by other inferences or evidence that raise a triable issue as to any material fact." (Code Civ. Proc., § 437c, subd. (c).) > "A defendant or cross-defendant has met that party's burden of showing that a cause of action has no merit if the party has shown that one or more elements of the cause of action, even if not separately pleaded, cannot be established, or that there is a complete defense to the cause of action." (Code Civ. Proc., § 437c, subd. (p)(2).) In discussing the burden on the opposing party, Code of Civil Procedure section 437c states: > "Once the defendant or cross-defendant has met that burden, the burden shifts to the plaintiff or cross-complainant to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto. The plaintiff or cross-complainant shall not rely upon the allegations or denials of its pleadings to show that a triable issue of material fact exists but, instead, shall set forth the specific

facts showing that a triable issue of material fact exists as to the cause of action or a defense thereto." (Code Civ. Proc., § 437c, subd. (p)(2).)

"Supporting and opposing affidavits or declarations shall be made by a person on personal knowledge, shall set forth admissible evidence, and shall show affirmatively that the affiant is competent to testify to the matters stated in the affidavits or declarations. An objection based on the failure to comply with the requirements of this subdivision, if not made at the hearing, shall be deemed waived." (Code Civ. Proc., § 437c, subd. (d).)

B. PLAINTIFF'S PRODUCT'S LIABILITY CAUSE OF ACTION

Here, Defendant demurs to the first and only cause of action for products liability, which contains three counts: (1) count one, strict liability based on Defendant's (a) manufacturing and assembly of the product, (b) design and manufacturing component parts supplied to the manufacturer, and (b) selling the product to the public, (2) count two, negligence, and (3) count three, breach of implied written warranty.

Defendant argues that it is entitled to summary judgment because the subject iPhone 13 did not undergo a thermal event. Defendant relies on expert Donald J. Hoffmann, Ph.D, P.E., I.A.A.I.-C.F.I.'s expert opinion.

"[A] plaintiff may seek recovery in a products liability case either on the theory of strict liability in tort or on the theory of negligence" as well as breach of implied warranty. (*Merrill v. Navegar, Inc.* (2001) 26 Cal.4th 465, 478 [internal quotations omitted]; *Shepard v. Alexian Brothers Hosp.* (1973) 33 Cal.App.3d 606, 615 ["the liability imposed by strict liability in tort and breach of express and implied warranties is virtually the same, i.e., a form of liability without fault"].)

"The rules of products liability focus responsibility for defects, whether negligently or nonnegligently caused, on the manufacturer of the completed product." (*Id.*, 478–479 [internal citations omitted].) "Thus, under either a negligence or a strict liability theory of products liability, to recover from a manufacturer, a plaintiff must prove that a defect caused injury." (*Id.*, 479.)

Here, Defendant argues that the allegations simply did not occur because the "subject iPhone 13 did not undergo a thermal event." Thus, at issue in this motion is whether the iPhone underwent a thermal event.

Plaintiff testified the following regarding the incident:

"I was on a video call.· I heard like an interference sound.· It sounded like somebody was stepping on dry leaves.· The phone started making a·sound, a noise.· Then all of a sudden, I couldn't say that it exploded, but it was something that happened. Flames and some liquid came out of the inside of the phone." (ROA 37,

> Defendant's Evidence, Declaration of Jeffrey Skinner, ¶ 2, Ex. 1, Plaintiff's Deposition, p. 37: 6-12.)

As stated above, Defendant relies on expert Donald J. Hoffmann, Ph.D, P.E., I.A.A.I.-C.F.I.'s expert opinion. Plaintiff made objections to this declaration and those objections are **OVERRULED**. Defendant's expert opines the following:

> "On October 7, 2024, SEL conducted a non-destructive examination of the subject iPhone 13. During this examination, SEL photographed and took radiographic imaging, including x-rays and CT scans, of the subject iPhone 13 to document and evaluate the condition of its internal electronics and battery. The imaging showed that the subject iPhone 13 did not have any localized internal thermal damage such as melting or decomposition of components. The imaging also showed that the subject iPhone 13 battery did not vent, undergo thermal runaway, or internally overheat." (ROA 36, Declaration of Dr. Donald Hoffmann, ¶ 9.)

> "SEL, with the permission of Rivas's counsel, then conducted a destructive examination of the subject iPhone 13 on January 24, 2025, at which inspection the device was opened to permit visual inspection of its interior components. This examination confirmed the results of the radiographic imaging taken on October 7, 2024. There was no physical evidence of thermal runaway to the internal components of the subject iPhone 13 or the battery. The uniform heat damage to the Subject iPhone 13 is consistent with exposure to an external heat source." (ROA 36, Declaration of Dr. Donald Hoffmann, ¶ 10.)

> "The examination of the battery and other internal components of the device and the lack of battery venting confirm the battery did not undergo an internal thermal event like that alleged by Rivas. The incident Rivas alleged occurred with the subject iPhone 13 was not caused by the device itself, as any malfunction of the battery or other internal component causing the release of flames from the device would have left clear evidence of thermal runaway to the interior of the subject iPhone 13." (ROA 36, Declaration of Dr. Donald Hoffmann, ¶ 11.)

> "Although there is external damage to the screen of the subject iPhone 13, it is consistent with damage caused by an external heat source, rather than an internal thermal event." (ROA 36, Declaration of Dr. Donald Hoffmann, ¶ 12.)

> "Based on my review of the photographs and radiographic imaging of the subject iPhone 13, the subject iPhone 13 did not undergo a battery thermal event or any other internal malfunction. There is no physical evidence of battery venting or thermal runaway." (ROA 36, Declaration of Dr. Donald Hoffmann, ¶ 18.)

> "The external damage to the screen of the subject iPhone 13 is consistent with damage caused by an external heat source, rather than an internal thermal event." (ROA 36, Declaration of Dr. Donald Hoffmann, ¶ 19.)

Defendant carried its initial burden on summary judgment.

In opposition, Plaintiff proffers to Declaration of Kenneth Soloman, PH.D., P.E., POST PH.D. Defendant made objections to Plaintiff's expert's declaration, arguing that Plaintiff's expert is not qualified to provide an expert opinion on the subject matter at issue in this motion. Defendant's objections are **OVERRULED**.

Plaintiff's expert casts doubt on the Defendant's expert's conclusions and methodologies, which in turn creates triable issues of the material facts that Defendant proffers. Plaintiff's expert testifies:

> "In my opinion, the methodology employed by Dr. Hoffmann does not provide a sufficient scientific basis to conclude that the subject iPhone did not malfunction or that the incident could not have occurred as described by Mr. Rivas." (ROA 63, Declaration of Kenneth Alvin, ¶ 7(A).)
>
> "Dr. Hoffmann concludes that the subject iPhone could not have malfunctioned because no battery venting or thermal damage was observed during the inspection. In my opinion, the absence of battery venting or thermal damage alone is not sufficient to conclude that the subject iPhone did not malfunction." (ROA 63, Declaration of Kenneth Alvin, ¶ 7(B).)
>
> "Dr. Hoffmann further opines that a battery capable of producing flames or releasing energy from the device would always exhibit evidence of battery venting and internal thermal damage. I am unaware of any peer-reviewed engineering publication, ASTM standard, NFPA publication, UL standard, SAE publication, or other generally accepted engineering authority concluding that every lithium-ion battery malfunction producing the type of event alleged by Mr. Rivas must always leave permanent evidence of battery venting and internal thermal damage observable years later. Accordingly, I disagree with Dr. Hoffmann's opinion that the absence of such evidence excludes the reported malfunction." (ROA 63, Declaration of Kenneth Alvin, ¶ 7(C).)
>
> "The inspections performed by Safety Engineering Laboratories occurred approximately two years after the reported incident. Those inspections document the condition of the subject iPhone when it was examined, not immediately after the reported incident." (ROA 63, Declaration of Kenneth Alvin, ¶ 7(D).)
>
> "Mr. Rivas reported that while using the subject iPhone, the device emitted an unusual sound followed by flames and liquid exiting the device, resulting in burns to his hand. Those observations are relevant to any engineering failure analysis and should not be disregarded solely because a later inspection found no evidence of battery venting." (ROA 63, Declaration of Kenneth Alvin, ¶ 7(E).)
>
> "Dr. Hoffmann did not attempt to replicate the operating conditions that existed immediately prior to or during the reported incident. Instead, his opinions are based

		solely upon a post incident inspection of the subject iPhone." (ROA 63, Declaration of Kenneth Alvin, ¶ 7(F).) "Dr. Hoffmann concludes that the damage to the display is consistent with an external heat source. However, he does not identify any testing, analysis, or other evidence supporting that conclusion." (ROA 63, Declaration of Kenneth Alvin, ¶ 7(G).) " Accordingly, it is my opinion, to a reasonable degree of engineering certainty, that Dr. Hoffmann's opinions do not provide a sufficient basis to exclude a malfunction of the subject iPhone as the cause of Plaintiff's reported injuries." (ROA 63, Declaration of Kenneth Alvin, ¶ 7(H).) The Court finds that Plaintiff's evidence defeats the motion for summary judgment by proffering evidence that disputes whether the thermal event alleged "always shows evidence of damage from the venting" or "always shows evidence of localized internal thermal damage, such as melting, decomposition, and discoloration of the battery and nearby internal components." Moreover, Plaintiff's evidence calls into question the credibility of the results Defendant's expert obtained during the inspection – which is a triable issue for the trier of fact to weigh, not the Court on a motion for summary judgment. Defendant argues on reply that "Rivas must identify a defect and establish causation, not Apple." This, however, is not the burden in opposing a motion for summary judgment. Rather, Plaintiff need only "show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto," which can be done by "set[tting] forth the specific facts showing that a triable issue of material fact exists as to the cause of action or a defense thereto." As discussed above, Plaintiff meets this burden. In sum, based on applicable law and as set forth herein, the Motion for Summary Judgment is **DENIED**. The Court finds that there are triable issues of material facts as to whether the iPhone underwent a thermal event or malfunction that caused the incident at issue. Plaintiff's objections to Defendant's expert declaration are **OVERRULED**. Defendant's objections to Plaintiff's expert declaration are **OVERRULED**. **Plaintiff to give notice.**